

Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

M&A Call

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Presentation

Operator

[Operator Instructions] Good morning, everyone, and welcome to Grupo Bimbo's Conference Call. The slide presentation accompanying this call can be accessed at www.grupobimbo.com. Before we begin, I would like to remind you that today's call is being recorded and that information discussed may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed notes in the company's press release regarding forward-looking statements.

I will now turn the call over to the Guillermo Quiroz, Chief Financial Officer of Grupo Bimbo. Please go ahead, sir.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Thank you, Chris. Good morning, everyone. Daniel will be with us shortly. So we'll start the presentation while we wait. We are pleased to have this opportunity to discuss our recent announcement in more detail. As you know, we just received regulatory clearance in the U.S. to proceed with our landmark Sara Lee acquisition. And last week, we announced a secondary deal with Sara Lee to acquire their Fresh Bakery operations on Spain and Portugal. Both acquisitions represent a significant step for our vision of becoming the best baking company, not just in terms of our international scope and scale, but also for additional value we can create for our customers, consumers, associates and shareholders.

Before we discuss these transactions, or both transactions, I'd like to put them in the context of our overall strategy. Grupo Bimbo's vision is built upon securing a leadership position in the baking and snack categories through both organic growth and strategic acquisitions. If you look at past year, you can see how we have executed that strategy. There are the 2 Sara Lee acquisitions, which we'll discussing in more detail shortly. There's the Fargo acquisition in Argentina that recently closed, which is that country's leading baking company and gave us added scale that should improve our performance there.

While each of these is in a different market, they are united by a strong underlying and strategic rationale and business case, which results in our ability to create value for all the stakeholders.

Next slide please. Having established the context of this acquisition, let's start with a look at the North American Fresh Bakery business, which will be integrated into BBU's operations in the U.S.

Next slide. By way of background, you will recall that we initially announced this transaction in November of last year for an enterprise value of $959 million, which was subject to certain adjustments. As expected, the business generated more than $2 billion in revenue and $78 million in EBITDA during the current fiscal year.

As with any deal of size, we were subject to a hard review, which ultimately results in a signed consent decree with the Department of Justice. This stipulates that we must dispose of select assets after closing. Given the undertakings associated with the consent decree, we sought to review the enterprise value of the business.

Final transaction with Sara Lee was valued at $709 million. The assets to be divested include the Sara Lee and EarthGrains brands in California in their retail bread buns and rolls categories. We would also sell a few brands in the same categories in Central Pennsylvania as well as in the Kansas City, Oklahoma City and Omaha metropolitan areas.

In a few minutes we will talk more about these divestitures, but I do want to emphasize one point about this disposal. We agreed to them, because we do not object the acquisition rationale for the value creation criteria we established going into the deal.

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Next slide. Looking at the details of the transaction itself, the current assets we acquired remain largely unchanged. We will call the royalty-free perpetual license to the Sara Lee brand namely in Fresh Bakery, a portfolio of well established regional brands, the plants and routes associated with these assets, and of course, we will welcome more than 13,000 Sara Lee associates to the BBU family.

The enterprise value of $709 million includes $34 million in assumed liabilities but does not include the final proceeds of any divestitures under the consent decree, and we will anticipate securing $150 million in permanent annual synergies by 2014 with approximately $120 million in integration-related expenses to be incurred over the next 2 years. We think the multiples are compelling: 0.35x revenue and 9x EBITDA. And once you account for synergies, that ratio falls to slightly above 3x EBITDA.

Next slide please. On the next slide, I want to show you the variety and richness of the Sara Lee portfolio, with its range of products and brands across complementary segments of the overall BBU portfolio. Together, we know we now have a complete portfolio of national brands that spans all segments.

Go to the next slide, please. Transaction multiples aside, the North American Fresh Bakery acquisition remains strategically compelling in various fronts. First, scale. As a leading baking company in the U.S., BBU will benefit from the ability to reach consumers across the country to strengthen our customers' relationships and obviously, to leverage our asset base most effectively. Second, with a truly national footprint, we will be able to fill in the right spaces where we previously had little presence, such as the Midwest, Central and Southeastern states.

Third, as I already shared with you, we now have a complete portfolio spanning the premium and mainstream segments. And lastly, I said earlier, the consent decree does not offset the value creation potential in terms of cost savings and long-term synergies.

Next. These brands and the footprint of our combined businesses give us a true national platform. This map shows the current facilities of the combined businesses that is prior to any disposals or investments. It is clear that even after the divestitures, we will remain -- retain, sorry, a presence in each of these regions, and the geographic scope of the organization would not be affected. Our distribution structure will be very robust with more than 13,000 routes nationwide.

Next slide please. The new BBU features some currently robust portfolio blend. You can see here, while we have representation in every segment of package growth from superpremium to premium, mass market, regional speciality and ethnic. The highly complimentary nature of our brands portfolio can only serve to strengthen sales volume and better meet our customers' needs.

Next slide. Beyond the operational footprint, the financials of the new BBU tell an important story. The divestiture revenues are in the range of $5.7 billion a year. And with that, that synergized EBITDA margin to be comparable with BBU levels today. With our proven track record in integrating complex operations, I have confidence in saying that we will be able to achieve that challenge.

Looking at the permanent synergies we expect to generate, the savings will come from a number of areas: more efficient plants and better plant utilization, depot and route consolidation, a streamlining of expenses and savings from the procurement process, among others.

Next slide. This map shows you the specific brands and regions under the consent decree obligations. In California, we will be selling the Sara Lee and EarthGrains brands in retail bread, buns and rolls -- and buns and rolls. In the central states, we'll divest Mrs. Baird's and EarthGrains in Kansas City, Healthy Choice and EarthGrains in Omaha and just EarthGrains in Oklahoma City. In Central Pennsylvania, where we are headquartered, we'll divest the Holsum and Milano brands. In total, this business has generated about $155 million in revenue over the past 12 months.

Keep in mind that we have a number of considerations in carrying out these divestitures which go beyond the dollar and cents of the transaction, because in most of the geographies in the United States, we will continue to sell under the divested brand names. To find that -- the right strategic fit, we have already retained advisors who are working with us.

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In general process, once we close the transaction, full operation responsibility for the entire business will be transferred to BBU. However, as part of our agreement with the Justice Department, the post-merger integration process will concentrate to a certain degree with assets to be diverted until they are sold.

Next slide. What I want to focus on really is day 1 on the new BBU and what our integration process will look like. The goal, obviously, is to do this right, and that is much more important than doing it fast. Success in the marketplace requires the passion and commitment to fresh, high quality products for consumers and a keen understanding of our customers. Our motto is better together, and I believe the sum of our parts will be greater than either business on its own.

Furthermore, we will improve efficiency through a substantial $1 billion investment in the business over the next 5 years that will enhance the manufacturing process and improve the capabilities and commercial strength of the new BBU. We will add new and flexible modern bakeries, like the one just built in Kansas, retrofit existing facilities to meet the market and make sure that our distribution network can reach every point-of-sale.

Looking ahead at the next 6 months, we have a detailed and aggressive post-merger integration plan. Our past experience has shown that rapid progress can be made to foster a culture of teamwork and cooperation, and the leadership of both organizations will be working close together with a specific senior level roles and responsibilities already established.

Next slide, please. As we move forward with the integration and the divestiture process, the focus on the operating side will remain squarely on execution with no slowdown of how we drive growth and profitability at BBU.

We've got great leadership talent in both organizations. And over the next months of this year and the following, Daniel will be visiting facilities and extending a personal welcome to BBU's newest associates around the country.

We are working to keep all eyes on volume growth, with a focus on the first products of our combined portfolio, ongoing investments in innovation and support for new product launches that meet consumer demand. In addition, the combined business will be able to take advantage of cross-selling opportunities as we align the customer base and fill in the right space.

I also want to note that in the past few years, we have made significant investments in technology. And today, we have the systems to support and drive growth and productivity at BBU, which reiterates my confidence that we are better being together.

Next slide. Go ahead.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Good morning to all of you. My name is Daniel Serrvitje, and I'll continue with the presentation right now.

Let's move on to Spain and Portugal, and we'll have a review of the second transaction. By way of background, this business was founded almost 50 years ago in Barcelona by Jaime Jorba, a cofounder of the original Bimbo bakery in Mexico City and cousin of Don Lorenzo Servitje Sendra. The family, of course, had its roots in Spain, and the concept was to replicate the success of the Mexican operation using the same brand and promoting a similarly modeled concept of packaged sliced bread. Mr. Jorba partnered with investors to open 3 more plants and eventually sold the company in 1978. Sara Lee acquire the operation in 2001.

Next page. In terms of the transaction, for an enterprise value of EUR 115 million, we are buying the entire Fresh Bakery business on the Iberian Peninsula with its 7 plants and more than 800 routes and 1,900 associates. For the fiscal 2011 that ended on June 30, sales were over EUR 290 million with pro forma EBITDA of EUR 17 million, implying a 5.9% margin. A key benefit in buying this business now is that the company has already undergone a comprehensive restructuring process over the last few years, which succeeded in streamlining the operation and reducing what were relatively high fixed costs in their

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structure, the benefits of which will be fully evident this year and next. We think the valuation is fair, with a 0.4 multiple on revenue and 6.7x pro forma EBITDA after giving consideration to certain cost saving measures already initiated by Sara Lee.

Next slide, please. Our global acquisition ability to move forward on our vision of being the best baking company and to do so, by entering a sizable market through an established leader. Consider that in Spain alone, the bread market, it's EUR 4.7 billion. And because most of those sales are still in the traditional category, there's growth potential for packaged branded products to capture share of wallet. That is the strategy we know.

Grupo Bimbo has a long track record of building brands, leveraging demographic trends, getting into the consumer mindset and forging strong customer and consumer relationships. And of course, there is the opportunity to have global stewardship of the Bimbo brand. The company already markets to the leading brands in the packaged bread, sweet baked goods and snack categories in Spain and Portugal. As in the United States, there will be some integration-related expenses on the order of EUR 12 million, which will have some impact on profitability during the first stage of the project.

Next slide, please. Looking at the operations, you can see that 2/3 of revenues come from bread, where the company is the leader in Spain in the branded category through its Bimbo brand. This has special meaning for us in terms of the opportunity to unite the branding identity on both sides of the Atlantic.

The remaining 1/3 of the company sales comes from the sweet baked goods, tostados and snack categories, where it is well positioned in terms of product mix and market share. Lastly, you can see the company's production plants are situated across the most populous areas of the peninsula.

Next. As I just mentioned, the company has a well positioned portfolio across a range of categories with well recognized brands that have good potential for growth. This gives you an indication of the variety and the extent of our new Iberian portfolio.

Having looked at the 2 businesses being acquired, I now want to take a few minutes to discuss the impact of these transactions and Grupo Bimbo as a whole. Guillermo will cover our performance and the financial details and then, I conclude will with an overview of how your -- our company is positioned to compete in the global food industry today.

So Guillermo, I will turn it over to you first.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Good morning again. Well, here we have in this chart just a brief summary of all the words we have been saying. You can see there that the revenues after these acquisitions will go from almost $10 billion to $12.3 billion once we have complete consolidation of all these acquisitions. EBITDA will be -- will go from $1.2 billion to I believe it's about $1.3 billion. Margins will go finally down from 12.2% to 10.6% and then up again to 11.8%. It is clear for us that we will be leaving during the first -- the next 2 years an investment step. So we are -- we need to accept the short-term decline in our profitability to gain long-term profitability as well. Routes, total routes will be about 50,000. The total amount of plants will be 155 and the number of total associates within the group will be about 126,000 associates.

Next slide, please. Well, with this -- or having said that, our recent sales were changed, of course, having the U.S. going up from 39% to 48%. That's 9 points more. Latin American sales, we're still going down 13%, and Europe will make its appearance on the [indiscernible] has come down from [indiscernible].

Next slide, please, regarding EBITDA. EBITDA, as we we're saying before, is going to go from $1.2 million to $1.3 million before synergies and about $1,400 [ph] million after synergies. You can see here in this graph why we are adding the $24 million coming from the Sara Lee payment and Portugal operation, the $30 million coming from the U.S. and the effective 160 synergies that we'll achieve in the next 3 years. That takes us to $1,458 million, and the change in EBITDA will be clear but not as long as in the case of sales. And U.S. will gain 10 points, so going from 33% to 42%. Latin America will stay about -- will stay stable. Europe will contribute with 2 points, and the Mexican contribution will go down from 64% to 52%.

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Next slide, please. To finance this acquisition, basically, we would use cash on balance. We are calculating that we will be in the need of using about $80 million more from bank facilities. That is something I am not sure about, because as we are still waiting for final authorizations for the European operation, we might be able to pay in cash the whole amount. But this is the amount we have today [indiscernible]. Taking that into consideration, you have there the distribution of our debt. Once we drop the $80 million, our total debt will be close to $3 billion in total.

[indiscernible] We have a very -- just $63 million to pay during next year, nothing in 2012 -- I'm sorry, 2013. And from then, we will be working on some plans to re-schedule or pay the next -- the following deadline.

Next slide, please. Comparing the amount of debt to our capacity of generating funds, we can see here that we have a peak in the year 2008. Well, it was really January 2009. This is a pro forma statement with the acquisition of the Western operations. And now, it came down more than a point, or close to a point, in the year 2009. And now, even after paying for the Sara Lee's U.S. and European operations, we are expecting to be close to 2.5x debt-to-EBITDA ratio, which we consider to be sound. Next slide.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you very much, Guillermo. I want to close by looking at Grupo Bimbo's global profile. We continue to have a strong, profitable and growing business in Mexico. At the same time, this transactions advance our vision of growth by expanding the scope and the scale of our business in the United States and giving us entry in the large European markets.

The acquisition drivers are clear. In the United States, irrespective of our regulatory obligations, we now have the people, the brands, the assets, and the scale to create significant value for stakeholders. In Spain, we'll become an established brand leader and benefit from our recent restructuring that positions the business for growth. And of course, we'll have the opportunity to reunite our brand again, as you'd note, that we will always be disciplined in our acquisition strategy, seeking our targets that hold solid position in the market and deliver strong financial returns while at the same time, we'll continue to drive growth by investing in our brands, our assets and in our people. Lastly, from a financial perspective, these transactions diversify our revenue and cash flow and allow us to maintain a strong and flexible balance sheet.

Next slide, please. We are a global company today with operations on 3 continents, more than 125,000 associates worldwide and millions of consumers around the world enjoying our products every day. Notwithstanding the challenges, risks and potential volatility ahead, we are excited about this next stage of the company's growth and the strategic benefits these acquisitions represent.
That concludes my remarks this morning and I will now hand the call over to the operator for any questions you may have.

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Question and Answer

Operator

[Operator Instructions] Your first question comes from the line of Alan Alanis.

Alan Alanis
JP Morgan Chase & Co, Research Division

I have a few questions. The first one, I think it's the most obvious one. I mean, how could you negotiate reducing the purchasing price by $0.25 billion a year later? I mean, I'm getting calls and getting questions regarding the kind of findings that you had in the due diligence process, because if I understand correctly, the selling of the assets in California, or the proceeds from the assets in California and the other regions, Central Pennsylvania and so on, are going to go to Bimbo and not to Sara Lee. So you're effectively getting $250 million less of purchasing price a year later, which I think it's, as we say, kind of too good to be true, if it doesn't come with further explanation. What would you say to that, Daniel?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

My dear Alan, I'll take that, okay?

Alan Alanis
JP Morgan Chase & Co, Research Division

Okay.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Well, first, it is true, okay? And now, let me tell you what happened here is that when we signed this agreement almost a year ago, the outcome of the negotiation with the DOJ was very unclear. So there were certain parts of the contract that would let us review the final numbers in consideration of also final negotiation with the DOJ. Now something very important and it is not this, as you were saying before, it's not the case of the Sara Lee operations have been deteriorating in an important way. The way to understand this is that when initial negotiations were done, there were basically -- there were many possibilities, basically, to go to them. One that -- one was that divestitures will come from small brands, small regional brands, that added all together would make about the same amount of sales but, of course, with different impact. And the other possibility was that -- was the case that divestitures would come from what we call Tier 1 brands, which means the most important brands to be acquired with Sara Lee or our most important brands, what finally came out as what we should divest the Sara Lee brands inn California, which of course, was considered to be a Tier 1. And the situation with that is that the impact of that divestment, it can be measured very precisely and in term of sales. We also impact the rest of the business from the specific point of view. So more or less, that's the way to understand why the divestment in price was not proportionate to the direct amount of sales to be divested.

Alan Alanis
JP Morgan Chase & Co, Research Division

I see. But you would say that the assets that you are buying are in a very similar condition to the ones that you found over a year ago when you did the due diligence.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, my friend, I would say that.

Alan Alanis
JP Morgan Chase & Co, Research Division

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Okay. Now how much -- could you give us a ball park figure of how much do you expect to get for these divestitures that you're having to do in the next 90 days?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

No, we don't have that. We are just starting to build our case and start working on this. But I wouldn't dare to say or to mention any specific amounts.

Alan Alanis
JP Morgan Chase & Co, Research Division

Got it. So final question here. Synergies, you're keeping synergies guidance relatively stable despite taking over a much smaller asset. I mean, could you explain a little bit more what gives you comfort that this is feasible?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. Basically, well, this amount of synergy is, of course, after a year from the day we announced them, have been reviewed. And I would say that, of course, we are losing some opportunities as a consequence of doing or going to divest this California operations. On the other hand, some other opportunities came out in the rest of the system. So we are pretty sure that we can hold still to that number.

Alan Alanis
JP Morgan Chase & Co, Research Division

Got it. So high conviction on the $150 million. Last, last question. What's your best case scenario for both the U.S. and Spain, Portugal in terms of top line growth, in terms of volume growth of that market in the next -- more of a longer term, 3 to 5 years? I know that the conditions right now are pretty, pretty tough for obvious reasons. But what's your -- internally, what's your thinking regarding the potential growth of these 2 markets longer term?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Alan, this is Daniel. Let me tell you that on growth in the U.S. and in Spain, we're more conservative. We do -- we're coming out of a time of price increases and volume declines in the U.S. So as we stabilize this trend, we hope to get back on the growing path but not necessarily on a fast one. So we will be growing on the low single digits. In the case of Spain, Spain also comes from a decline more so because of a price war, one, that was among the major branded players, as well as a decline on the consumer goods brands in regard to the private label brands. So those 2 factors in Spain also make the situation a difficult one. But we expect to come with new ideas, and we have found the opportunities also for growth in Spain. But at this time, it's early in the process to really give you a better figure of our growth perspectives. So what I would tell you is that we're thinking of being conservative in both instances. In the U.S., we'll play more for the synergy gain. And also, for becoming low cost producers as we'll have the scale in the U.S. to really improve the opportunity to be more efficient on the manufacturing side. And in Spain, basically, we'll become -- be more conservative as of now. And as we know more about the market, we'll probably give you a better feeling of the future.

Operator

Your next question comes from José Yordan.

José Juan Yordán
Deutsche Bank AG, Research Division

My question -- I had a couple of questions. One was I'm sure you saw the press in Brazil today about potentially you being one of 3 bidders Mabel. And while I don't expect you to comment on potential deals, I guess the question would just be in general, are you ready for more deals now in the aftermath of these

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2? And in a secondary way, is the cookie market something that -- given that you're already the largest baker in the world after this transaction, is that your next area of growth? Is that something you're going to look at in a serious way to grow in that market? And then the second question I had was about the pension liabilities. It's pretty clear about the balance sheet liabilities that you're taking over from Sara Lee, but we've heard from some clients and others that there may be some off-balance sheet liabilities connected to certain -- to some of these multi- employee pension plans in the U.S. that are off-balance sheet. If you can give us a sense of the size of this -- of the potential size of this liability, that would be useful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

José, we'll state the answer for the 2 questions. And the first one, let me tell you that we are always looking at opportunities, and we are also aware of our capacities and limitations. And I cannot expand more on that, but yes, the cookie business, it's also part of our product portfolio. We are the second player in the cookie and cracker business in Mexico with a strong share, and we have also cookie businesses in Central and Latin America as well as a sizable export business to the U.S. On the second question, Guillermo?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Basically -- José, basically I would say that the Sara Lee's private plans are already -- the liability is high, all the other rates taking into account in the balance sheet. And from the next point of view, this -- the amount to be paying as an expense every year for covering these liabilities of Sara Lee, taking into account on the projections we make to evaluate the net present value of the business, and we are not expecting in this moment any change on those conditions.

José Juan Yordán
Deutsche Bank AG, Research Division

But I guess you're referring to the stated -- to the balance sheet liabilities. I guess my question was more is there any off-balance sheet vehicles.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. Yes, exactly. The off-balance liabilities that are related to the multi-employer pension plans, what I was trying to say is that this is already covered by an annual payment. That was fully reconsidered in our projections of the value of the business. That was regarded to be the multi- or net of the...

Operator

[Operator Instructions] Your next question comes from the line of Nikolaj Lippmann.

Nikolaj Lippmann
Morgan Stanley, Research Division

My question was also related to the pension plans. So I guess I don't have any other questions.

Operator

Your next question comes from Celso Sanchez.

Celso William Sánchez
Citigroup Inc, Research Division

On the acquisition in Spain and Portugal, if you could just give us a sense -- I guess the -- you said you're conservative with the growth expectations at the top line longer term. But I'm curious if they've had a couple of years worth of restructuring in the margin on a pro forma basis, it's still barely going to reach 6%. And I contrast that to some of the stuff you're doing in the U.S., where you think you can get closer

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to an 11% margin. How should we think about the long-term structural profitability of that business even if your projections on the revenue side prove to be conservative? If you could comment on that, please.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Sure, Celso. Well, the changes that have occurred in the previous ownership or the terms in ownership for Sara Lee were significant. On one hand, there were closures of plants and also, the integration with another bread supplier to lower the fixed cost on the manufacturing side. And now, the upcoming change is regarding the distribution system through the sales representatives. So that's already done, and it's quite significant. So the perspective of the business just with these 2 changes improves the condition of the business structure, and so that's why we took into account these changes for valuing the business. In the future, we're trying to be more conservative and as we said, because we don't -- we're not putting any synergies into business as we are just entering into the peninsula. In the future, if we are able to either grow organically, which we're not accounting for, or any other acquisitions, obviously, the opportunities for improving the margin will come. But as it is, it's creating value for us in the transaction that just occurred. So according to our projections, if nothing else happens, it will be a value-accretive proposition for us. Besides that, there's an important intangible element here of integrating the Bimbo plant globally. And as we have a stronger billion brand business inside these brands, the opportunity to have throughout -- through our projects the continents one brand owned by our company was also a significant consideration in acquiring this company.

Celso William Sánchez
Citigroup Inc, Research Division

Okay. And I could just follow up. I mean, just a bigger picture, conceptual question I guess is to what extent -- my sense is or my initial thought is that the baking business is fairly local. To what extent should one think about the value or the benefits to a global brand? In other words, a consumer sees the brand in one country and the next. How is that -- how compelling is that as part of the investment strategy?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Obviously, the consumers buy local fresh bread, but they do travel. And the bread business, it's still one that gets us to a lot of innovations within -- from one country to the other one. And having a global Bimbo brand gives us another advantage to really leverage the opportunities to get into the digital media and the social networks. And that's a truly global media. Just for the sake of the knowledge of it, the bimbo.com property, its owned by Bimbo Spain, not Grupo Bimbo. And as most of the growth in spending goes to these cycles of digital media, that also was an important part of the opportunities to consolidate the brand under one hood.

Operator

[Operator Instructions] You have a follow-up question from José Yordán.

José Juan Yordán
Deutsche Bank AG, Research Division

I just -- I was wondering whether you can share with us any dates regarding the divestitures. Do you have any limit dates that are in the DOJ contact? Or whether those, let's say, deadlines are so far in advance that they're very far, let's say very generous, when do you expect to get the deals done, the sales done ahead of that?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, the consent decree with the Department of Justice includes 90 days for the -- having the buyer run on having 2 possible extensions of 40 days each.

José Juan Yordán

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Deutsche Bank AG, Research Division

Okay. So it'll be relatively soon. And any -- well, I guess, we'll hear about it soon. Any -- if you have any indications of how close you are. I mean, how many buyers you have lined up for the asset so far...

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

No. As Guillermo was saying, we're still just -- we just completed this phase with the DOJ. And now, we're -- we'll be working on offering the package to different buyers, and we have to have a fair [indiscernible].

Operator

That concludes our question-and-answer session portion for today. I hand this program back over to management for any further comments or closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Okay. Well, thank you, all for your time and interest today. And please do not hesitate to contact us with any further comments or questions you may have, and we look forward to speaking with you again next Friday for the quarterly results update. Thank you very much.

Operator
This concludes today's conference call. You may now disconnect.

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